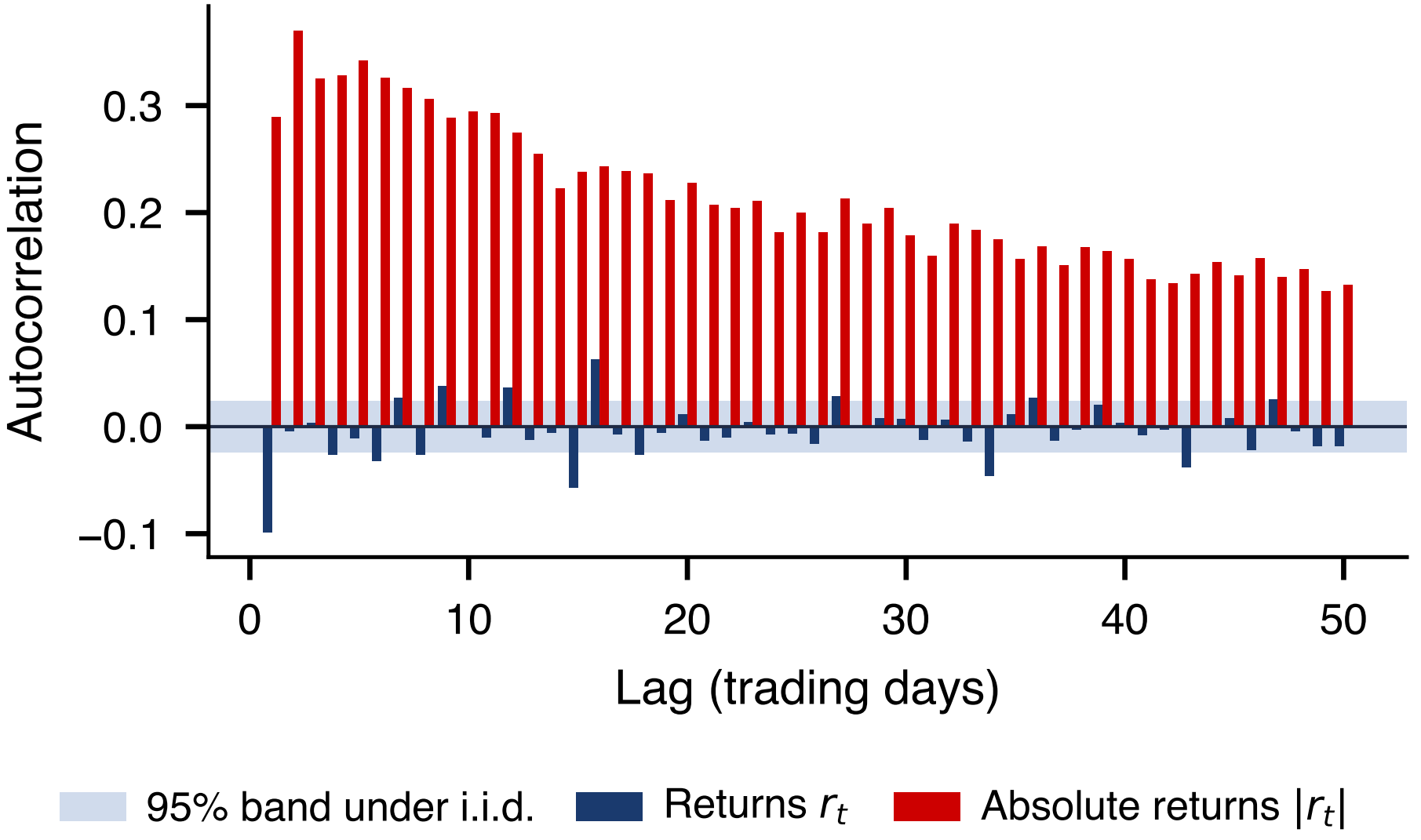
Autocorrelation
0.3
0.2
0.1
0.0
−0.1
0
10
20
30
40
50
Lag (trading days)
95% band under i.i.d.
Returns r_t
Absolute returns $|r_t|$